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Investment Protection vs. Regulatory Autonomy in Ethiopia's Mining Legal Framework: The Case of Critical Minerals

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Abstract

This thesis examines whether Ethiopia's mining investment law strikes an appropriate balance between investment protection and regulatory autonomy in the governance of critical minerals. Minerals such as lithium, cobalt, nickel, copper, graphite, tantalum, and rare earth elements have become more important and this has made their governance a strategic legal issue globally and in developing countries that are seeking to attract investment while preserving public control over natural resources its an even more pressing matter. The study adopts primarily doctrinal research method. It analyzes Ethiopia's constitutional framework, mining laws, investment laws, mineral transaction rules, selected bilateral investment treaties, and relevant legal and policy materials. It also uses limited qualitative interviews with relevant officials and experts to support the doctrinal analysis. The thesis finds that Ethiopia has a strong formal basis for regulatory autonomy through constitutional designation of public ownership of natural resources, government custodianship of those resources, licensing control, and administrative supervision over mineral development. It also finds that Ethiopia's legal framework provides important investor protections through tenure security, marketing rights, incentives, expropriation protection, remittance guarantees, and treaty-based protections. However, the main weakness is the fragmented nature of the existing framework. Ethiopia's current framework contains public ownership, licensing authority, strategic-mineral designation, transaction control, and investment protection tools, but these tools are not yet organized into a coherent and central critical minerals governance framework. The thesis therefore recommends that Ethiopia clarify the legal consequences of strategic-mineral designation, adopt a specific critical minerals legal regime, develop value-addition and traceability tools, and preserve investor confidence without weakening the state's long-term regulatory autonomy over critical minerals.

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List of Abbreviations

Abbreviation	Full Form
ASM	Artisanal and Small-Scale Mining
ASSM	Artisanal and Special Small-Scale Mining
ATIDI	African Trade & Investment Development Insurance
BIT	Bilateral Investment Treaty
CETM	Critical Energy Transition Minerals
ESIA	Environmental and Social Impact Assessment
EITI	Extractive Industries Transparency Initiative
ESG	Environmental, Social and Governance
FDRE	Federal Democratic Republic of Ethiopia
FDI	Foreign Direct Investment
FET	Fair and Equitable Treatment
GDP	Gross Domestic Product
GSE	Geological Survey of Ethiopia
IEA	International Energy Agency
IIA	International Investment Agreement
IISD	International Institute for Sustainable Development
IRENA	International Renewable Energy Agency
ISDS	Investor-state Dispute Settlement
MFN	Most-Favoured-Nation Treatment
MIGA	Multilateral Investment Guarantee Agency
MoMP	Ministry of Mines and Petroleum
OECD	Organization for Economic Co-operation and Development
OSCOLA	Oxford Standard for Citation of Legal Authorities

Abbreviation	Full Form
SDG	Sustainable Development Goal
UNTAD	United Nations Trade and Development
UNEP	United Nations Environment Programme

Chapter One

1. Introduction

Mineral Governance is an important issues because minerals are not ordinary commercial resources. Their development involves questions of public ownership, investment, licensing control, environmental regulation, revenue generation and long term development planning. For countries with mineral potential, the legal framework must therefore do more than attract investors. It must also determine how mineral resources are accessed, supervised, transferred, marketed, and used for public purposes. Critical minerals make this general governance question more urgent. Minerals such as lithium, cobalt, nickel, copper, graphite, tantalum, and rare earth elements are increasingly linked to energy transition, industrial policy, technological production, and future supply chains. The issue is therefore not only whether these minerals physically exist, but also how states govern access to them, regulate their extraction, and preserve enough policy space to respond to future strategic and developmental needs.[1]

This makes the legal framework of mining important for all mineral-producing states. The issue is sharper for developing and mineral-rich countries because in those countries mining is often presented as a means of attracting capital, generating foreign exchange and creating employment. Yet mining in addition to investor entry is about public control over natural resources, licensing decisions, regulatory supervision, and the preservation of policy space in a sector that may in the near future become strategically important. For that reason, the legal issue is not simply whether investment should be promoted and protected, but whether the form of protection adopted by the law still leaves sufficient room for the host state to govern mineral development in a way that upholds public priorities.[2]

Since Ethiopia is still an emerging site of minerals, it is necessary to examine its legal framework before the sector fully expands and before stronger legal and policy commitments become fixed. Existing Ethiopian scholarship already shows that the country has made notable efforts to build a

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[1] Kirsten Hund and others, *Minerals for Climate Action: The Mineral Intensity of the Clean Energy Transition* (World Bank 2020) 11–16; Dolf Gielen, *Critical Materials for the Energy Transition* (IRENA 2021) 6–8, 33–35.
[2] M Sornarajah, *The International Law on Foreign Investment* (4th edn, CUP 2017) 1–5; UNCTAD, *Investment Policy Framework for Sustainable Development* (United Nations 2015) 8–10.

mining framework that is economically efficient, environmentally conscious, and socially responsible, while significant gaps and inconsistencies still exist. Analysis of Ethiopia's recent investment law reform shows that the present regime is not concerned only with attracting investment, but also with promoting, protecting, and regulating it within a broader developmental framework.[3]

Although there are studies on Ethiopia's mining law, sustainable mining, and investment law separately, there is still limited focused analysis on how these issues come together in relation to critical minerals. It is, therefore, important to analyze whether Ethiopia's mining investment laws strike an appropriate balance between investment protection and the state's regulatory autonomy in the governance of critical minerals, particularly in relation to resource management, licensing control, dispute settlement, and policy space. It is this question that the present study addresses.

1.1 Statement of the Problem

The central legal problem of this study is whether Ethiopia's mining investment laws protect and promote investment in a way that still preserves sufficient regulatory autonomy for the state in the governance of critical minerals. This is important because mining is a matter of public control over natural resources, licensing decisions, dispute settlement, and future policy choice in a sector that may become strategically important.

The problem becomes even sharper in relation to critical minerals because the legal framework adopted today may later affect the state's ability to manage resource development, regulate investors, and respond to changing public priorities. Although there is literature on Ethiopia's mining law, investment law, and sustainable mining, there is still limited focused analysis on whether these different parts of the legal framework come together in a way that preserves an appropriate balance between investment protection and regulatory autonomy.

[3] Yared Hailemariam, 'A Critical Appraisal of the Legal and Policy Framework for Sustainable Mining in Ethiopia' (2024) 15(1) *Journal of Sustainable Development Law and Policy* 106, 106–108; Bereket Alemayehu Hagos, 'Major Features of Ethiopia's New Investment Law: An Appraisal of Their Policy Implications' (2022) 29(1) *Transnational Corporations* 135, 135–138.

1.2 Research Questions

1.2.1 Main Research Question

- Does Ethiopia's mining legal framework strike an appropriate balance between investment protection and regulatory autonomy in the governance of critical minerals?

1.2.2 Sub-Questions

1. What forms of investment protection are provided under Ethiopia's mining investment laws and relevant bilateral investment treaties?
2. What regulatory powers does the Ethiopian government retain to regulate mining activities?
3. To what extent might investment protection standards constrain Ethiopia's ability to regulate the extraction and development of critical minerals?
4. What legal or policy reforms could help Ethiopia better balance investment promotion with regulatory autonomy?

1.3 Literature Review

A major part of the literature on international investment law begins from the general idea that investment treaties were designed to promote and protect foreign investment by reducing political risk and creating a more stable legal environment for investor-state relations. Schill, for instance, explains that investment treaties have often been justified as instruments that strengthen the rule of law in investor-state relations through subjecting public power to legal standards and by offering investors a framework of legal security beyond the host state's own institutions.[4] In a similar way, Newcombe and Paradell show that the treaty regime developed around a relatively uniform structure of substantive protections, including expropriation, fair and equitable treatment, full protection and security, and investor-state dispute settlement.[5] However, UNCTAD's policy framework rightly notes that modern investment policy should in addition to attracting investment

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[4] Stephan W Schill, 'International Investment Law and the Rule of Law' in Jeffrey Lowell, J Christopher Thomas and Jan van Zyl Smit (eds), *Rule of Law Symposium 2014: The Importance of the Rule of Law in Promoting Development* (Academy Publishing 2015) 81, 82–89.

[5] Andrew Newcombe and Lluís Paradell, *Law and Practice of Investment Treaties: Standards of Treatment* (Kluwer Law International 2009) 1–6.

be able to regulate it in a way that serves sustainable development and preserves regulatory space for the host state.[6]

That shift is partly a response to the broader criticism that investment law may constrain legitimate public regulation excessively. Sornarajah argues that the older model of investment protection produced rigid forms of treaty protection that were later interpreted expansively, while newer criticism has increasingly focused on the extent to which investment law narrows a state's room to regulate in the public interest.[7] Van Harten and Vastardis similarly note that the criticism of investment arbitration has intensified, especially where treaty protections are invoked in a way that goes against public measures touching matters of major social and economic importance.[8] What emerges from this line of argument is that the central issue is no longer simply about how to protect investors from the state, but also on how to prevent investment law from becoming a source of excessive constraint on domestic regulatory authority.

Mining governance literature treats extractive investment as a sector in which the state must make continuing decisions on resource allocation, licensing, revenue capture, environmental regulation, community relations, and long-term development strategy. The UNEP International Resource Panel, for example, stated that extractive industries can generate infrastructure, revenue, employment, and technology transfer, while at the same time remaining enclave-oriented and capable of producing significant social, environmental, and governance harms where regulation is weak.[9] Cotula and Mann similarly show that the developmental value of mining depends not only on attracting investment, but on the legal design of the framework through which investment is admitted, structured, and supervised, including the treatment of contracts, stabilization, bargaining power, and long-term regulatory control by a host state.[10]

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[6] UNCTAD, (n 2), 8–12.
[7] Sornarajah (n 2) xiii–xiv, 1–5.
[8] Gus Van Harten and others, 'Investor-State Dispute Settlement: An Analysis of Reform Proposals' in Julien Chaisse, Leïla Choukroune and Sufian Jusoh (eds), *Handbook of International Investment Law and Policy* (Springer 2021) 1–5.
[9] International Resource Panel, *Mineral Resource Governance in the 21st Century: Gearing Extractive Industries Towards Sustainable Development* (UNEP 2020) 6–17.
[10] Lorenzo Cotula, *Negotiating the Governance of Africa's Natural Resources: A New Scramble?* (Zed Books 2014) 1–8; Howard Mann, *IISD Handbook on Mining Contract Negotiations for Developing Countries, Volume I: Preparing for Success* (IISD 2015) 13–15.

The critical minerals literature adds another layer to this debate. It shows that mining should now be discussed not only in terms of ordinary resource development, but also in relation to the global energy transition, technological competition, and long-term economic security. IRENA and the World Bank both show that renewable energy systems, battery storage, electrification, and low-carbon technologies are significantly more mineral-intensive than earlier energy systems, which means that materials such as lithium, cobalt, nickel, copper, graphite, tantalum and rare earth elements now carry a different legal and policy significance than they did before.[11] Literature also shows that the real problem is not just about the existence of the minerals physically, it additionally concerns whether their production can expand fast enough, how concentrated supply and refining remain, and whether producing countries can avoid being locked once again into low-value forms of extraction.[12] In that sense, the governance of critical minerals raises issues that go beyond ordinary mining law and raises questions of industrial policy, value addition, supply security, and future policy control.

Another important part of the critical minerals literature frames governance not only in terms of supply and industrial strategy, but also in terms of sustainability, transparency, and public accountability. The joint IEA-OECD work on traceability shows that critical mineral supply chains are increasingly being judged based on their sustainability and responsible governance.[13] The UN Guidance on Critical Energy Transition Minerals and EITI materials similarly stress that the governance of these minerals must be connected to environmental integrity, transparency, benefits sharing, value addition, and human rights.[14] This line of literature supports the present study in an important way. It shows that the governance of critical minerals requires stronger legal and institutional capacity, on top of having stronger investor confidence. At the same time, much of this literature remains framed at the level of global governance, supply chains, or political economy. It does not sufficiently examine how a specific host state's mining investment laws

[11] Gielen (n 1) 6–8, 33–35; Hund and others (n 1) 11–16.
[12] UNCTAD, *Critical Minerals, Critical Decisions: Industrial Policy for the Energy Transition* (UNCTAD 2026) 1–4, 21–30; OECD, *Regional Note on Critical Minerals in Africa* (OECD 2026) 3–6.
[13] IEA and OECD, *The Role of Traceability in Critical Mineral Supply Chains* (IEA/OECD 2025) 7–12.
[14] UN Secretary-General's Working Group on Transforming the Extractive Industries for Sustainable Development, *UN Guidance for Action on Critical Energy Transition Minerals* (2025) 6–10, 43–66; EITI, *Making the Grade: Strengthening Governance of Critical Minerals* (EITI 2022) 4–10.

mediate the tension between attracting critical-mineral investment and preserving regulatory autonomy over licensing, resource management, dispute settlement, and policy space.

The right to regulate is not just a broad policy concern and should be defined as a legal question that arises within investment law itself. Titi's work treats the right to regulate as the legal space that allows a host state to adopt public-interest measures without automatically incurring liability to protected investors.[15] Gleason and Titi again show that regulatory autonomy must be understood through treaty design and interpretive practice rather than through abstract assertions of sovereignty alone.[16] Comparative literature shows that states have increasingly tried to preserve policy space through preambular references, clarifications of expropriation, general exceptions, police-powers language, limits on MFN, and narrower dispute-settlement clauses.[17]

When the discussion turns to Ethiopia, Hindeya identifies the central challenge of Ethiopian mining law in terms of a balance between attracting mining investment through protection and incentives while also safeguarding public interests, especially in relation to licensing, tenure, and implementation.[18] A more recent and more developed contribution appears in Hailemariam's work on sustainable mining in Ethiopia. That article shows that the Ethiopian legal framework has made serious efforts to integrate economic, environmental, and social concerns into mining governance, but that important gaps, inconsistencies, and implementation weaknesses still exist.[19]

Hagos's analysis of the 2020 investment law shows that the present Ethiopian framework is not limited to attracting investment. It combines promotion, protection, and regulation within a legal structure aimed, at least formally, at sustainable development.[20] This work is particularly relevant because it highlights matters such as liberalization, the negative-list approach, grievance-handling procedures, domestic investor-state dispute-settlement mechanisms, and the importance of having competent and coordinated institutions for a host state.

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[15] Catharine Titi, *The Right to Regulate in International Investment Law* (Nomos 2014) 1–7.
[16] Ted Gleason and Catharine Titi, 'The Right to Regulate' (Academic Forum on ISDS Concept Paper 2022/2, 20 October 2022) 2–6.
[17] Krista Nadakavukaren and Rodrigo Polanco Lazo, *Legal Opinion on Right to Regulate in Investment Treaties* (Swiss Institute of Comparative Law 2023) 1–9.
[18] Tilahun Weldie Hindeya, 'An Overview of the Legal Regime Governing Minerals in Ethiopia' (2012) 3(1) *Bahir Dar University Journal of Law* 24, 24–30, 58–66.
[19] Hailemariam, (n 3) 106–108, 139–143.
[20] Hagos (n 3) 135–140.

When these writings are read together, a clear limitation emerges. The Ethiopian mining law literature tends to focus on the general legal regime, sustainability, licensing, or institutional practice. Investment law literature focuses more on broad reform of the national investment framework, liberalization, and dispute-settlement arrangements. The wider critical minerals literature, for its part, remains at the level of global governance, supply chains, and industrial policy. What remains insufficiently examined is how these strands come together in relation to Ethiopia's legal framework and more specifically "Do Ethiopia's mining investment laws strike an appropriate balance between investment protection and regulatory autonomy in the governance of critical minerals?".

1.4 Objectives of the Study

1.4.1 General Objective

The general objective of this study is to examine whether Ethiopia's mining investment laws strike a fair and appropriate balance between investment promotion and protection on the one hand and the state's regulatory autonomy on the other in the governance of critical minerals.

1.4.2 Specific Objectives

The specific objectives of the study are:

1. To examine the main investment promotion and investment protection standards found in Ethiopia's mining investment laws.
2. To identify the extent of the regulatory authority retained by Ethiopian over resource management, licensing control, and related governance issues in investment in the critical minerals sector.
3. To assess how dispute-settlement arrangements and investment protection standards may affect Ethiopia's policy space in the governance of critical minerals.
4. To evaluate whether the existing legal framework creates a coherent balance between attracting investment and preserving sufficient state control over strategically important mineral resources.

5. To finally propose legal and policy recommendations that may help improve the balance between investment protection and regulatory autonomy in the governance of critical minerals.

1.5 Scope of the Study

This study focuses on Ethiopia’s mining investment laws in the context of critical minerals. Its central concern is the legal balance between investment protection and the state’s regulatory autonomy, particularly in relation to resource management, licensing control, dispute settlement, and policy space. The study examines the relevant Ethiopian mining laws, investment laws, applicable bilateral investment treaties, and related legal and policy materials.

1.6 Research Methodology

This research primarily adopts a doctrinal method. It examines Ethiopian mining investment laws, relevant bilateral investment treaties, and related legal and policy materials in order to assess whether Ethiopia’s mining investment framework strikes an appropriate balance between investment promotion and protection and the state’s regulatory autonomy in the governance of critical minerals.

A doctrinal method is appropriate because the main issue examined in this study is a legal one. The research is concerned with the content of the law, the relationship between the different legal instruments that govern mining investment, and the extent to which the existing framework preserves state authority. For that reason, the analysis of legal texts constitutes the primary method of the study.

In order to strengthen the legal analysis with practical institutional insight, it also uses limited qualitative interviews with relevant officials and experts, particularly from the Ministry of Mines and Petroleum. These interviews are intended to clarify how the legal framework operates in practice, especially in relation to licensing, institutional roles, and regulatory challenges within the mining sector.

1.7 Limitations of the Study

One limitation of the study is that it does not seek to provide a broad empirical account of the mining sector as a whole. Even so, that limitation is partly addressed by using interviews in a focused way to support and contextualize the doctrinal analysis. A further limitation of the study is time as this thesis was conducted in 3 months' time and, as such, does not go into some details that are relevant to the thesis but not necessary to answer the central question of this thesis.

1.8 Significance of the Study

This study is significant for both academical and practical reasons. Academically, it addresses a gap in the literature by examining how investment protection, regulatory autonomy, and critical minerals intersect within Ethiopia's legal framework. Practically, it is important because Ethiopia is still an emerging site of critical mineral governance and this makes it possible to examine the legal framework before stronger legal and policy commitments become fixed. The study may therefore help clarify whether the current framework strikes a fair and appropriate balance between encouraging investment and preserving sufficient state authority over strategically important mineral resources.

Chapter Two

2. Ethiopia's Mining Investment Legal Framework

Ethiopia's mining investment framework is not found in one instrument. It is shaped by constitutional rules on public ownership of natural resources, mining-specific legislation, general investment law, mineral-transaction rules, bilateral investment treaties, and the institutional system through which mineral rights are granted and supervised. This chapter identifies the parts of the framework that matter for the central question of this thesis: how Ethiopian law protects mining investment while preserving public control over mineral resources.

This legal framework matters because Ethiopia has a mineral sector that is still relatively underdeveloped but not insignificant. EITI describes Ethiopia as a significant producer of gold and limestone, with smaller production of tantalum, salt, and pumice.[21] The USGS 2022 Ethiopia minerals tables also record production of gold, columbite-tantalite mineral concentrate, platinum, silver, cement, limestone, gemstones, pumice, gypsum, soda ash, basalt, and lignite.[22] The sector is therefore not limited to precious minerals. It includes metallic, industrial, construction, and energy-related minerals, some of which may become more important as demand patterns change.

The relevance of critical minerals should be understood within this broader mineral setting. Ethiopia is not yet a major global critical-mineral producer, but minerals such as tantalum and possible associated niobium already show why the legal framework should not be designed only around ordinary extraction. Globally, critical minerals such as lithium, copper, nickel, cobalt, graphite, and rare earth elements are now essential inputs for batteries, renewable power, and advanced manufacturing.[23] For mineral-rich developing countries, the policy question is not only how to attract investment into extraction, but also how to avoid remaining locked into raw-commodity export and how to create space for value addition, traceability, and future industrial policy.

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[21] Extractive Industries Transparency Initiative, 'Ethiopia' (EITI) https://eiti.org/countries/ethiopia accessed 26 May 2026.
[22] US Geological Survey, 'The Mineral Industry of Ethiopia, 2022 Tables-Only Release' (15 January 2025) https://www.usgs.gov/media/files/mineral-industry-ethiopia-2022-tables-only-release-xlsx accessed 26 May 2026.
[23] United Nations Conference on Trade and Development, *Critical Minerals, Critical Decisions: Industrial Policy for the Energy Transition* (UNCTAD 2026) 1–4.

2.1 Constitutional and Policy Setting of Mining Investment in Ethiopia

The legal framework governing mining investment in Ethiopia begins from Article 40(3) of the FDRE Constitution which states that the right to ownership of land and all natural resources is vested exclusively in the state and the peoples of Ethiopia. Before extraction, mineral resources remain subject to public ownership and government custodianship. A mining licence therefore gives the investor a legally protected right to explore, develop, or mine according to the licence, but it does not transfer ownership of minerals while they remain in their natural condition. Once minerals are lawfully extracted, however, the investor's rights over those minerals are governed by the mining and mineral-transaction rules, including rules on sale, transfer, processing, and export.[24]

The Mining Operations Proclamation carries this constitutional position into the sector-specific framework. It makes government custodianship one of the objectives of the mining regime and provides that mineral resources in their natural condition are the property of the government and the peoples of Ethiopia. It also gives the licensing authority the power to control and administer mineral resources. At the same time, the Proclamation seeks to promote socio-economic growth, employment, welfare, security of tenure, and sustainable mineral development.[25] Ethiopian mining law is therefore built around a dual structure: public control over mineral resources and legally protected participation by investors.

The MoMP Investor Guide places mining reform within the Home-Grown Economic Reform Agenda and presents the sector as one in which Ethiopia seeks at once to attract investment, improve geological information, streamline licensing, strengthen institutional capacity, address community issues, and create a more sustainable and inclusive mining sector.[26] The central challenge of Ethiopian mining law is one of balancing the need to attract investors while still safeguarding public interests in the sector.[27]

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[24] FDRE Constitution arts 40(3), 40(8), 41.
[25] Mining Operations Proclamation No 678/2010 arts 4–5.
[26] Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 9–11, 19–21.
[27] Hindeya (n 18) 25–26, 34–36.

2.2 The General Investment Law Framework Applicable to Mining Investment

As per Article 3 of the Investment Proclamation, it does not directly govern investment in the prospecting, exploration, and development of minerals and petroleum. Those activities are excluded because mining and petroleum require sector-specific regulation, including rules on public ownership of natural resources, licensing, geological risk, environmental obligations, resource transfer, royalties, and government supervision. This exclusion does not make the general investment law irrelevant. It means that mining investment is governed principally by special mining legislation, while the general investment law remains useful for understanding Ethiopia's broader investment-policy orientation.[28]

Ethiopian investment law should also not be reduced to the Investment Proclamation and Investment Regulation alone. Because even where a country has a unified national investment law, investment activity is usually also affected by other laws, including tax, labour, environmental, foreign-exchange, land, company, and sector-specific laws. For mining, this point is especially important because the most relevant investment rules are found not only in the general investment framework but also in the mining laws, mineral-transaction laws, environmental and social impact assessment rules, tax and customs rules, and applicable BITs.

Investment Proclamation No 1180/2020 and Investment Regulation No 474/2020 are a unified legal framework and operate together. The reform was intended to attract investment and to also promote, protect, and regulate it in a manner aligned with sustainable development and the broader economic reform agenda of the country.[29]

The starting point under the Investment Proclamation is Article 5, which states that the investment objective of the Federal Democratic Republic of Ethiopia is to improve the living standard of the peoples of Ethiopia by realizing rapid, inclusive, and sustainable economic and social development. The same provision then goes on to specify more specific purposes such as: enhancing competitiveness, creating employment, increasing foreign-exchange earnings, augmenting the role of the private sector, exploiting and developing the country's resources, strengthening inter-sectoral and foreign-domestic linkages, and encouraging socially and

[28] Investment Proclamation No 1180/2020 art 3.
[29] Hagos (n 3) 135–140.

environmentally responsible investments.[30] The law seeks to expand private participation in the economy but it does so with the view of creating national development, institutional oversight, and sustainability.[31]

2.3 The Mining Law Framework Governing Critical Mineral Development

The principal and sector-specific legal instrument that governs mineral development and mining investment in Ethiopia is the Mining Operations Proclamation No 678/2010, as amended by Proclamation No 816/2013 and later by Proclamation No 1213/2020. The Proclamation applies to mining operations and related activities within Ethiopia.[32] It provides the basic legal structure that classifies mineral resources, grants mineral rights, supervises mining operations, and the respective powers of the licensing authorities. It is therefore the main instrument through which public ownership and custodianship are translated into an operational licensing regime.

The Proclamation establishes the basic categories through which mineral development is organized. Article 9 recognizes reconnaissance, exploration, retention, artisanal mining, small-scale mining, and large-scale mining licenses, while the 2013 amendment added special small-scale mining as an additional category.[33] This staged structure matters because it prevents mineral rights from entering the legal system as one broad entitlement. The investor's legal position changes depending on the stage of the project, the type of mineral, and the scale of operation.

A further important feature of the legal framework is that the mining law itself adopts a broad and functional understanding of the mineral sector as a whole. Article 2 defines key categories such as metallic minerals, precious minerals, semi-precious minerals, industrial minerals, construction minerals, and strategic minerals, while the 2020 amendment further refined restrictions relating to some placer mining and construction mineral activities.[34] This structure leaves room for legal differentiation between different kinds of mineral activities. Not all minerals are treated identically, and not all forms of participation are equally open to foreign investors.

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[30] Investment Proclamation No 1180/2020 art 5.
[31] Hagos (n 3), 142-145.
[32] Mining Operations Proclamation No 678/2010 arts 1, 3; Mining Operations (Amendment) Proclamation No 816/2013; Mining Operations (Amendment) Proclamation No 1213/2020.
[33] Mining Operations Proclamation No 678/2010 art 9; Mining Operations (Amendment) Proclamation No 816/2013.
[34] Mining Operations Proclamation No 678/2010 art 2; Mining Operations (Amendment) Proclamation No 1213/2020.

The Proclamation requires a license for all types of mining operations, establishes a public registry of licenses and related instruments, and makes the licensing authority central to the grant, renewal, variation, transfer, suspension, and revocation of mineral rights.[35]

A further instrument relevant to mining is the Transaction of Minerals Proclamation No. 1144/2019. Unlike the Mining Operations Proclamation, which mainly regulates mineral operations and mineral rights, this Proclamation regulates mineral transactions after their production. It covers activities such as purchase, custody, transport, crafting, refining, smelting, local sale, and export of minerals. It also creates licences and certificates of competence for actors involved in mineral supply. Ethiopia's legal framework does not stop at extraction contains a post-production regulatory layer through which the state can control mineral movement, processing, marketing, and export.

At the policy level, this framework has been presented as part of a broader reform effort intended to make the sector more investable while strengthening geological information, licensing systems, institutional coordination, and regulatory capacity. The MoMP Investor Guide, for example, presents Ethiopia's mining reform agenda as involving easier licensing, better cadastre management, more consistent federal-regional coordination, and legal and institutional reform aimed at creating a sustainable and inclusive mining sector.[36]

2.4 Institutional Control, Licensing, and Tenure Security

The mining framework described above is administered through a licensing structure in which public control is preserved through the institutions that grant, supervise, and, where necessary, withdraw mineral rights. At the constitutional level, the federal government has the power to enact laws on the utilization and conservation of natural resources while regional states administer land and other natural resources in accordance with federal law. In the mining sector, this has produced a system in which legislative authority is mainly federal, but administrative and licensing powers are divided between the federal and regional levels in more specific ways.[37] It is organized through a structured division of powers which affects who may obtain a licence, from which authority they acquire it, in relation to what mineral, and under what conditions the licences will be granted.

[35] Mining Operations Proclamation No 678/2010 arts 7, 12–15.
[36] Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 19–21, 45–59.
[37] FDRE Constitution arts 51(5), 52(2)(d); Hailemariam, (n 3), 98–101.

Article 2(16) defines the "licensing authority" as the Ministry or a state organ in charge of the mining sector, as appropriate. Article 52 then distributes powers between them. state licensing authorities may issue artisanal mining licences; issue to domestic investors licences for reconnaissance, exploration, and retention for construction and industrial minerals; issue small-scale mining licences for industrial minerals; issue small- and large-scale mining licences for construction minerals; and issue certificates of discovery for minerals other than those reserved to the federal level. The Ministry, by contrast, issues reconnaissance, exploration, retention, and mining licences other than those assigned to the regional states; issues certificates of discovery for strategic minerals; issues certificates of professional competence; and tests and authorizes the export of mineral samples, while the grant of mining licences is subject to approval by the Council of Ministers.[38]

This means that the more commercially and strategically significant segments of the mining sector remain closer to federal control. When the allocation of powers under Article 52 is read cumulatively, the powers of regional states are important but still limited in major respects, particularly where foreign investors and higher-value mineral operations are concerned.[39] The 2020 amendment reinforces that position. It further restricts foreign participation in certain construction-mineral and placer-mining operations, while allowing only a limited opening in relation to some large-scale placer mining through domestic partnership requirements.[40] This shows that Ethiopia uses institutional design itself as a way of preserving regulatory control over parts of the sector considered more sensitive.

The MoMP Investor Guide presents the Ministry as the first institutional point of contact for investors and describes an ongoing reform process directed at integrating federal and regional licensing administration more closely. It refers in particular to the upgrading of the mining cadastre system, the shift toward online licensing procedures, the streamlining of federal and regional licensing systems, and efforts to improve consistency through consultation with regional mining

[38] Mining Operations Proclamation No 678/2010 arts 2(16), 52; Mining Operations (Amendment) Proclamation No 1213/2020.

[39] Hindeya (n 18) 34–38.

[40] Mining Operations (Amendment) Proclamation No 1213/2020 art 2.

bureaus. The Guide also treats the digital cadastre and licensing reforms as part of a broader attempt to make the sector more predictable, transparent, and investor accessible.[41]

Licensing control is where the above discussed institutional structure becomes operational. Article 7 of the Mining Operations Proclamation requires the relevant licence before any mining operations may lawfully be undertaken, and Article 12 requires applications for the issuance, renewal, or transfer of licences to be submitted in the prescribed form with the required documentation and fees.[42]

The licensing rules also show that the system is not purely first-come, first-served. Priority may depend on the type and scale of mining, the technical and financial capacity of the applicant, the work programme, and, where appropriate, bidding. The publicity and objection procedure also gives licensing a public-law character. These rules are important because they allow the state to manage access to minerals through legal criteria rather than through ordinary private bargaining.[43]

The same is true of the register. Article 15 requires the establishment of a registry of licences and related instruments, requires transfer and other dealings in mineral rights to be registered, and makes the registry open to public inspection.[44] This is important because it contributes to legal regularity in a sector where rights over land, mineral areas, and mineral development can overlap or conflict. This is how the framework attempts to make licensing control legible both to the state and to third parties.

At the same time, the law gives investors a degree of tenure security. This is necessary because exploration and mining require long-term capital, technical risk, and continuity between discovery and development.[45] The Proclamation therefore creates a staged pathway from reconnaissance to exploration, retention, and mining, with renewal possibilities where the legal conditions are satisfied. The important point for this thesis is that this is not absolute security. It is conditional tenure: the investor receives continuity only so long as it complies with the licence, the work programme, expenditure obligations, environmental requirements, and other legal duties.[46]

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[41] Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 10–11, 20–21, 45–50.
[42] Mining Operations Proclamation No 678/2010 arts 7, 12.
[43] ibid art 13, 14.
[44] ibid art 15.
[45] Hindeya (n 18) 27–28, 34–38.
[46] ibid arts 4, 16–20, 25, 30.

2.5 Investment Protections, Incentives, and the Treaty Layer

The Ethiopian mining investment framework also contains protection and facilitation rules that make mining investment commercially possible. This is important because mining investors face high geological, commercial, and regulatory risks, and the sector normally requires long-term capital, technology, and infrastructure before any return is realized.[47]

At the sectoral level, investor protection is built mainly through tenure, transfer, marketing, fiscal, and operational guarantees. The Mining Operations Proclamation allows investors to move through reconnaissance, exploration, retention, and mining licences, subject to the requirements attached to each stage. It also permits the transfer of mineral rights with approval and registration, allows mining licensees to sell minerals locally or abroad, and provides fiscal rules on royalties, customs-duty exemptions, foreign-currency accounts, and cost recovery for successful exploration.

These protections reduce entry risk and make exploration and development more bankable. At the same time, they do not remove public control. Transfer requires approval and registration, marketing rights operate within mineral-transaction rules, fiscal benefits remain legally defined, and licence continuity depends on compliance. The domestic framework therefore protects investors mainly through conditional legal security rather than through unrestricted freedom over mineral resources.

The MoMP Investor Guide presents these elements as part of Ethiopia's investor-facing framework, emphasizing predictability, stability, security of tenure, mineral marketing rights, dispute resolution, customs-duty exemptions, foreign-currency accounts, and 100 per cent exploration cost recovery for successful companies that commence mining operations.[48] These assurances reduce entry risk and make exploration and development more attractive and bankable.

The new *Invest in Ethiopia 2026 Deal Book* presents Ethiopia as a reforming frontier market and lists investment incentives such as income-tax advantages, customs-duty exemptions, profit repatriation, land-access support, legal protections, currency convertibility and repatriation

[47] Ibid, 24–28.
[48] Mining Operations Proclamation No 678/2010 arts 4, 9, 15, 30, 33, 42, 63–70; Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 10–11, 45–56, 67.

guarantees, investment facilitation through the Ethiopian Investment Commission, and political-risk insurance through institutions such as MIGA and ATIDI/ATI.[49]

This investment framework also has a treaty layer. Ethiopia has signed a substantial number of bilateral investment treaties.[50] Ethiopia's mining investment framework is not protected only through domestic law. For foreign investors covered by an applicable BIT, investment protection may also arise from international obligations undertaken by Ethiopia. Ethiopian investment has been promoted, protected, and regulated through national investment law, BITs, and other commitments, and Ethiopia has signed 35 BITs, 21 of which are in force.[51][52] The point remains that BITs form a separate layer of protection above domestic mining law.

This matters because BITs may give covered foreign mining investors protections that are broader or different from those available under domestic law. Typical BIT protections include fair and equitable treatment, protection against unlawful expropriation, national treatment, most-favoured-nation treatment, transfer guarantees, and investor-state arbitration. These protections are not merely formal. If a mining investor is covered by a BIT, later changes to licensing, taxation, foreign-exchange rules, export controls, environmental obligations, or mineral-processing requirements may be framed as treaty issues, depending on the wording of the applicable treaty.

The treaty layer has a double effect. It can strengthen investor confidence by providing external legal security in a sector that requires large capital and long project timelines. But it can also constrain regulatory autonomy if treaty standards are broad, exceptions are weak, or arbitration clauses allow investors to challenge public-interest measures outside the domestic legal system. For that reason, the BIT layer should be treated as part of Ethiopia's mining investment framework, not as a separate international-law issue.

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[49] Ethiopian Investment Commission, European Chamber in Ethiopia and Grant Thornton Ethiopia, *Invest in Ethiopia 2026: Ethiopia: A Frontier Market with Fundamentals and Momentum* (2026) 1, 6–8.
[50]Hagos (n 3) 137.
[51] Ibid
[52] UNCTAD, 'International Investment Agreements Navigator: Ethiopia' https://investmentpolicy.unctad.org/international-investment-agreements/countries/67/ethiopia accessed 26 May 2026.

Chapter Three

3. Investment Protection and Regulatory Autonomy in the Critical Minerals Sector

The previous chapter showed that Ethiopia's mining investment framework contains both protective and regulatory elements. It protects investors through tenure security, marketing rights, fiscal incentives, transfer rules, and treaty-based protections. It also preserves public control through ownership rules, licensing authority, administrative supervision, and mineral-transaction controls. This chapter turns to the legal tension created by that dual structure. The question is whether the form of protection given to investors leaves enough room for the state to regulate mineral development in the public interest.

3.1 The Basic Tension between Investment Protection and Regulatory Autonomy

The relationship between investment protection and regulatory autonomy lies at the centre of contemporary international investment law. Investment treaties were developed to reduce political risks, protect foreign investors from arbitrary state conduct, and provide a more stable legal framework for cross-border investment. Protections such as fair and equitable treatment, expropriation protection, full protection and security, transfer guarantees, and investor-state dispute settlement form the ordinary architecture of international investment law. They give foreign investors legal security beyond the host state's domestic legal order. Investment treaties are instruments that may strengthen the rule of law in investor–state relations by subjecting public power to legal standards and by giving investors enforceable rights against the host state.[53] This protective function is not problematic by itself. The difficulty arises when protection is drafted or interpreted so broadly that it shifts from controlling arbitrary state conduct to limiting ordinary public-interest regulation.[54]

[53] Schill (n 6) 82–86.
[54] Kleinheisterkamp, J. (2015), Investment Treaty Law and the Fear for Sovereignty. Mod. L. Rev., 7

In ordinary public international law, a state retains the sovereign capacity to legislate, administer, and change policy within its territory.[55] But in investment law, the issue is narrower. The question is whether the state may regulate in a way that affects an investor without breaching an international obligation and incurring liability towards the investor.[56]

The right to regulate in investment law is the legal space that allows the host state to adopt legislation or other measures in derogation of substantive treaty commitments without having to compensate adversely affected investors.[57] Gleason and Titi make the same point by separating the state's uncontested general regulatory freedom from the more specific treaty question whether regulation can be undertaken without triggering liability to the investor.[58] On a narrow view, references to the right to regulate only reaffirm state sovereignty. On a broader view, they indicate that at least some public-interest measures should remain non-compensable even where they affect foreign investors.[59]

Investment protection is meant to discipline public power in the interest of stability, legality, and investor confidence. Regulatory autonomy, on the other hand, is concerned with preserving enough policy space for the state to pursue public objectives even after investment commitments have been made. The investor relies on treaty-based standards that may have binding force. The host state relies on its continuing responsibility to govern matters such as public health, environmental protection, natural-resource control, labour standards, industrial policy, and economic restructuring.

This is also why the older view of investment treaties as mere protection against arbitrary conduct is no longer sufficient. Criticism of the system has grown because investment protections have often been invoked against general regulatory measures adopted for public purposes. Many regulatory actions that are valid under the host states municipal law may still violate investment

[55] Czubik, P. (2022) 'Sovereignty in International Law' in Raisz, A. (ed.) International Law From a Central European Perspective. Miskolc-Budapest: Central European Academic Publishing. pp. 95–116. https://doi.org/10.54171/2022.ar.ilfcec_5
[56] Catharine Titi, *The Right to Regulate in International Investment Law (Revisited)* (International and Comparative Law Research Center 2022) 17–19.
[57] ibid 17–18.
[58] Gleason and Titi (n 18) 2–4.
[59] Nadakavukaren and Polanco Lazo (n 19) 1, 5–8.

treaties and expose the state to substantial compensation liability.[60] The failure to balance investment protection and the right to regulate has become a central legitimacy concern in ISDS, especially because regulatory changes are frequently challenged as violations of investment protection standards.[61] Sornarajah's broader critique treats the treaty regime as a system shaped by unequal economic relations and warns that even "balanced" treaties may not fully resolve the pressures created by investment arbitration.[62]

At the same time, regulatory autonomy should not be treated as a licence for unlimited state discretion. The right to regulate is the state's legal capacity to act; public interest is the justification or objective that supports that action. The two are connected, but they are not identical.[63] A strong account of regulatory autonomy must require the state to act for identifiable public purposes, through lawful means, and within a framework that does not simply disregard legitimate investor protection.

3.2 The Doctrinal and Procedural Pressure Points

In abstract terms, investment protection and regulatory autonomy may appear capable of coexistence. In practice, however, the tension is mediated through particular treaty standards, contractual clauses, and dispute-settlement mechanisms. The most important pressure points for this study's purposes are fair and equitable treatment, indirect expropriation, stabilization clauses, transfer guarantees, MFN-based expansion of treaty protection, and investor–state dispute settlement. A licensing decision, environmental measure, fiscal reform, or change in the legal framework may be framed as a breach of fair and equitable treatment, as an indirect taking, as a violation of a stabilization commitment, or as conduct triggering arbitration under a treaty or contract. This is why the legal form of investment protection matters as much as the policy objective behind it.

Fair and equitable treatment is the broadest of these standards and therefore one of the most important sources of regulatory pressure. It is one of the most important standards in investment

[60] Klara Polackova Van der Ploeg, 'Protection of Regulatory Autonomy and Investor Obligations: Latest Trends in Investment Treaty Design' (2018) 51 *The International Lawyer* 109, 109–113.
[61] Berfu Beysulen Angin, 'The Right to Regulate vs Investment Protection: Unveiling the Causes of Imbalance and the Limits of Current Reform Efforts in International Investment Law' (2025) 40(1) *ICSID Review – Foreign Investment Law Journal* 11, 11–13.
[62] Sornarajah (n 2) xiii–xiv.
[63] Angin (n 61) 22–23.

disputes and is invoked in a large number of arbitral cases.[64] It is important because have placed numerous concepts under it, including transparency, due process, consistency, protection against arbitrariness, and legitimate expectations. These elements can be useful where a state acts in a genuinely abusive or arbitrary manner but they can also become problematic where an investor uses FET to challenge ordinary changes in regulation. This is especially visible in long-term sectors such as mining, where the investor may claim that it made the investment in reliance on a particular legal and fiscal framework, while the state may later need to adjust that framework for public interest purposes.

The problem is that a broad understanding of legitimate expectations can transform regulatory stability into a near-freezing of policy. The political-risk logic behind investment protection is once capital is sunk, the host state may have greater power to alter the balance of burdens and benefits that originally formed the basis of the investor's business plan.[65] That explains why investors seek stability. But it does not mean that every later regulatory change should be treated as unfair.

Indirect expropriation creates a second pressure point. Direct expropriation is usually easier to identify because title or possession is formally taken. The more difficult cases arise where the state does not formally acquire the investment, but adopts measures that substantially interfere with its economic value or use. Modern expropriation disputes often concern whether a taking has occurred where the host state regulates without formally transferring title, particularly in fields such as public health, environmental protection, and general regulatory change.[66] If the standard is too broad, many ordinary regulatory measures may be treated as expropriatory and if it is too narrow investors may be left exposed to disguised takings.

Mining projects depend on licences, permits, environmental approvals, land access, water use, fiscal terms, and infrastructure arrangements. Many of the measures most likely to be challenged are not formal nationalizations. The IGF brief on mining-sector ISDS gives these examples, noting that licensing and ESIA outcomes, royalty and tax changes, land and water restrictions, tailings and closure requirements, and Indigenous consultation measures have all been tested through ISDS

[64] Christoph Schreuer, 'Fair and Equitable Treatment in Arbitral Practice' (2005) 6(3) *Journal of World Investment and Trade* 357, 357–359.
[65] Rudolf Dolzer and Christoph Schreuer, *Principles of International Investment Law* (2nd edn, OUP 2012) 22.
[66] ibid 99–101.

claims.[67] For a resource-rich developing state, this means that the ordinary tools of mining governance may also become the factual basis of international investment disputes.

Stabilization clauses intensify this problem because they move the pressure point from treaty standards into the contractual structure of the project itself. Mining contracts sometimes attempt to regulate the relationship between domestic law, project-specific obligations, and the investor's expectation of stability. Mann's IISD handbook identifies three relevant sources of law for mining investments namely domestic law, mining contracts, and international investment treaties.[68] The difficulty arises when contracts create special legal regimes that protect the investor against future changes. Stabilization clauses may freeze the law applicable to the project, require compensation if new laws affect the investment, or create economic-equilibrium obligations that shift the cost of regulatory change back to the state.

The stronger objection is directed especially at broad non-fiscal stabilization. While limited and carefully framed fiscal stabilization may sometimes be defended for bankability reasons, there is no similar justification for insulating investors from future change in areas such as environment, human health, labour law, or human rights.[69] Stabilization clauses may affect the way tribunals interpret treaty standards such as FET and expropriation, pushing them toward stricter readings where the investor can rely on a stabilization commitments by the host state.[70] The recent IISD brief on reforming investment contracts warns that even where treaties are reformed to preserve regulatory flexibility, old or imbalanced investment contracts may still contain stabilization and arbitration clauses that neutralize those reforms at the project level.[71] Stabilization therefore illustrates a deeper problem which is that regulatory autonomy cannot be secured by treaty reform alone if the project contract recreates stronger investor protections in parallel.

Investment treaties commonly protect the investor's right to transfer capital, profits, dividends, loan repayments, royalties, proceeds of sale, compensation, and other investment-related funds in

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[67] Intergovernmental Forum on Mining, Minerals, Metals and Sustainable Development, *Understanding Investor–State Dispute Settlement in the Mining Sector: Consent, Rules, and Recent Trends* (IGF 2025) 2.
[68] Howard Mann, *IISD Handbook on Mining Contract Negotiations for Developing Countries, Volume I: Preparing for Success* (IISD 2015) 7–9.
[69] ibid 13–14.
[70] Ibid 14
[71] Josefina del Rosario Lago, Florencia Sarmiento and Suzy H Nikièma, *Reforming Investment Contracts: Why Policy-Makers Must Act Now—and How* (IISD 2026) 3–6.

convertible currency. From the investor's side, this is part of the economic value of the investment. From the host state's side, however, unqualified transfer guarantees may reduce the ability to respond to balance-of-payments difficulties, exchange shortages, financial instability, or sudden capital movements. This matters particularly for developing economies where foreign exchange management may be a central part of macroeconomic governance. A transfer clause here becomes balanced only when it protects legitimate investor transfers while preserving space for temporary, lawful, and non-discriminatory restrictions.

Most-favoured-nation treatment may also operate as a procedural and substantive pressure point if it is drafted too broadly. In principle, MFN treatment seeks to prevent nationality-based discrimination among foreign investors. In practice, broadly worded MFN clauses may allow investors to import more favourable standards or dispute-settlement arrangements from other treaties signed by the host state. Martha Belete and Tilahun Esmael show this risk clearly in the Ethiopian context. Their review of Ethiopia's BITs found that MFN clauses in many Ethiopian treaties are phrased in broad terms, creating room for competing interpretations and possibly expanding Ethiopia's obligations by allowing investors to rely on more favourable provisions contained in other treaties.[72]

The procedural mechanism that makes these standards especially powerful is investor–state dispute settlement. ISDS allows qualifying foreign investors to bring claims directly against the host state before an international tribunal, usually without relying on diplomatic protection and often without first exhausting domestic remedies. In the mining sector disputes arise from ordinary public-law decisions made by mining ministries, environmental agencies, land authorities, tax bodies, and regulatory institutions. The IGF brief emphasizes that mining ministries increasingly encounter ISDS when governments revise mining codes, tighten environmental and social standards, seek fairer revenues, or steer the sector toward low-carbon development.[73] ISDS in the extractive sector can restrict the policy space needed by African countries for industrialization and resource-based development.[74]

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[72] Martha Belete Hailu and Tilahun Esmael Kassahun, 'Rethinking Ethiopia's Bilateral Investment Treaties in Light of Recent Developments in International Investment Arbitration' (2014) 8(1) *Mizan Law Review* 117, 117–118, 126–128.
[73] IGF (n 67) 1–4.
[74] Kinda Mohamadieh and Daniel Uribe, *The Rise of Investor-State Dispute Settlement in the Extractive Sectors: Challenges and Considerations for African Countries* (South Centre Research Paper No 65, 2016) 1–6.

UNCTAD's 2025 IIA Issues Note records that known treaty-based ISDS cases had reached 1,401 by the end of 2024, with about three quarters brought between 2010 and 2024. It also notes that, in 2024, more than half of new cases related to extractive activities and energy supply, and that six cases involved mining of critical minerals required for the energy transition.[75] These figures show that extractives, energy, and critical minerals are now major sites of investment arbitration.

3.3 Why the Tension Becomes Sharper in the Context of Critical Minerals

The previous section showed how investment protection pressures regulatory autonomy and the same issue becomes sharper once the focus shifts to critical minerals. Their governance is a question of how much authority the state retains over resources that may shape future production systems, industrial upgrading, and strategic economic choices.

The first reason is that critical minerals have a stronger development-policy function than ordinary minerals. They are inputs for renewable energy technologies, electric mobility, battery storage, and advanced manufacturing. For mineral-producing countries, the question is therefore not only how to extract them, but how to use them for processing, linkage creation, technology transfer, and structural transformation. UNCTAD's work on critical minerals is useful here because it frames the issue as both an opportunity for industrial development and a risk of renewed dependency if countries remain confined to raw extraction.[76] The IEA also shows that the making of clean-energy technologies has already driven major increases in demand, including a tripling of lithium demand from 2017 to 2022 and substantial increases in cobalt and nickel demand.[77]

The second reason is that critical minerals are governed in a setting of supply concentration and geopolitical pressure. Criticality does not arise only from the physical scarcity of the mineral but also from concentration in production, refining, processing, technology, and trade routes. The long-term problem is whether production can be expanded quickly, whether supply is diversified, and whether geopolitical risks are properly managed.[78] There are three supply-side challenges for rapid energy transitions: whether supply can keep up with demand, whether supply can come from diversified sources, and whether it can be produced responsibly.[79] This matters for developing

[75] UNCTAD, *Recent Trends in Investor–State Arbitration Cases* (IIA Issues Note No 2, September 2025) 1–5.
[76] UNCTAD, (n 14) vi, 1–4.
[77] International Energy Agency, *Critical Minerals Market Review 2023* (IEA 2023) 5–8.
[78] Gielen (n 1) 6–8.
[79] IEA (n 77) 7–8.

countries because global demand will increase the bargaining value of their resources, but this may also expose them to external pressure from consuming states, manufacturers, financiers, and investors.

The OECD regional note on critical minerals in Africa observes that Africa holds important mineral wealth but remains marginal in higher-value supply-chain segments, with exports still largely consisting raw or semi-processed minerals and foreign investment remaining heavily upstream-oriented.[80] This structural problem makes regulatory autonomy important where a mineral-rich country may not want to do extraction only but also geological mapping, domestic processing, regional value chains, local content, skills development, infrastructure linkages, and more effective fiscal capture. But these may require changes to licences, contracts, incentives, fiscal terms, or performance conditions. The more ambitious the state becomes in trying to escape enclave extraction, the more likely its measures are to clash with the investment protections described in the previous section.

The third reason is that critical minerals now carry heavier governance and legitimacy expectations than many older extractive projects. They are not governed only through the side of supply security but also governed through sustainability, human rights, traceability, anti-corruption, environmental protection, and public participation. According to the IEA-OECD report on traceability critical mineral supply chains cannot be secure, reliable, and resilient unless they are also sustainable and responsible.[81] Rising demand for critical minerals can aggravate risks relating to revenue volatility, corruption, environmental and social harm, opaque licensing, weak state-owned enterprise governance, and unequal distribution of benefits.[82]

If a state is expected to strengthen environmental review, require human rights due diligence, ensure some level of community participation, disclose contracts, prevent corruption, regulate traceability, and secure benefit sharing, it must retain enough legal authority to impose and update those obligations when the need arises. A legal framework that exposes the state to liability

[80] OECD (n 14) 3–5.
[81] IEA and OECD (n 15) 7–10.
[82] EITI (n 16) 4–9.

whenever it updates those obligations may weaken the governance that the critical minerals agenda requires.[83]

The sharpest point of tension is therefore value addition and industrial policy. For resource-rich developing countries, the central question is whether investment will support structural transformation or reproduce the older pattern in which raw materials leave the country while higher-value processing, technology, finance, and manufacturing remain elsewhere. UNCTAD's 2026 report argues that industrial policy for critical minerals must go beyond extraction and simple processing. It should build backward, forward, and lateral linkages with the wider economy so that mineral wealth contributes to diversification, productive capacity, and sustainable development.[84]

Measures designed to promote processing, local procurement, technology transfer, regional integration, or performance-linked benefits may be needed to avoid renewed dependency. But they may also be the measures most likely to raise questions under investment treaties, investment contracts, or ISDS. If the state's legal framework is drafted mainly to protect investors against change, and not made to preserve the state's ability to shape mineral-based development, then critical minerals may generate investment without any state transformation occurring.

3.4 Preserving Policy Space in Critical Minerals Governance

Preserving policy space does not mean rejecting investment protection. Large-scale mineral projects need capital, technology, infrastructure, and long project timelines. Investors therefore need legal security. The issue is whether that security is framed in a way that still permits the host state to regulate critical minerals for public purposes.

Policy space is first preserved through the careful drafting of substantive investment standards. Fair and equitable treatment should primarily protect investors from arbitrary, abusive, discriminatory or bad-faith conduct, but it should not be drafted so broadly that ordinary regulatory changes by the host state become a treaty breach.[85] In the same way, expropriation clauses should distinguish between compensable takings and bona fide public-interest regulation. A clear public

[83] International Resource Panel, *Mineral Resource Governance in the 21st Century: Gearing Extractive Industries Towards Sustainable Development* (UNEP 2020) 6–16.
[84] UNCTAD,(n 14) vi, 2–4.
[85] Titi, (n 56) 17–18, 96–97.

welfare clarification would help preserve the state's ability to adopt non-discriminatory measures without automatically triggering compensation liability.

Policy space is also preserved through exceptions and limits within investment treaties. General exceptions, essential security clauses, balance-of-payments exceptions and non-derogation clauses can all protect regulatory authority if they are drafted as operative provisions rather than broad political statements. The same is true for MFN clauses. If MFN is drafted without limits, an investor may try to import more favourable protections or dispute-settlement rights from another treaty. A more balanced treaty design therefore excludes procedural matters from MFN and prevents the clause from expanding dispute-settlement consent or importing broader substantive standards from third treaties.[86]

Even carefully drafted substantive standards may place pressure on regulatory autonomy if investors have immediate and broad access to international arbitration. A state may preserve more room for domestic governance by narrowing consent to arbitration, requiring consultations, encouraging exhaustion or prior use of local remedies, excluding certain public-interest measures from arbitration, allowing counterclaims where appropriate, and strengthening domestic grievance-handling institutions. But this does not mean that international arbitration must be rejected altogether.[87]

A further method of preserving policy space is the careful treatment of stabilization clauses in mining contracts. Some degree of fiscal stability may be useful in capital intensive projects, especially where investors need predictability before financing exploration, extraction or processing. But broad stabilization clauses can endup being problematic. If they freeze the application of future laws or require compensation whenever new public-interest regulation affects the project, they may restrict the state's ability to update environmental, labour, safety, human-rights, community-development, traceability or fiscal rules. For that reason, stabilization should be narrow, time-bound, transparent and limited mainly to clearly identified fiscal matters.[88]

[86] Nadakavukaren and Polanco Lazo (n 19) 1, 5–9; Ieva Baršauskaitė and others, *International Trade and Investment Agreements and Sustainable Critical Minerals Supply* (IISD 2025), iv–vii.
[87] UNCTAD, (n 2) 6–12, 18–20; Baršauskaitė and others (n 87) iv–vii, 56.
[88] Mann (n 12) 13–15; Lago, Sarmiento and Nikièma (n 71) 3–6.

For critical minerals, policy space must also extend beyond defensive treaty drafting and include the positive legal capacity to shape mineral development. Because critical mineral governance should be about allowing the state to pursue value addition, domestic processing, local participation, technology transfer, infrastructure linkages, transparent licensing, revenue accountability, responsible sourcing and supply-chain traceability. UNCTAD's work on critical minerals stresses that mineral-rich developing states need industrial policy tools that go beyond extraction and simple processing if mineral wealth is to contribute to structural transformation.[89] The UN Guidance on Critical Energy Transition Minerals similarly links responsible mineral governance with value addition, benefit sharing, fair taxation, community development, transparency, human rights and environmental protection.[90]

Transparency and traceability are also part of this wider policy space. Rising demand for critical minerals may increase the risk of occurrence of corruption, opaque licensing, weak revenue management, environmental harm and unequal distribution of benefits in the host state. EITI therefore treats transparency over licences, contracts, beneficial ownership, production, exports, revenues and state participation as central to strengthening critical minerals governance.[91] The IEA-OECD work on traceability also shows that responsible supply chains are increasingly depending on ability to identify the origin, chain of custody and ESG performance of minerals as they move through the global markets. These tools can strengthen domestic regulation, improve market access and make mineral governance more credible.[92]

Therefore regulatory autonomy is preserved through both limits and capacity. It is preserved by limiting overly broad investment protections, by controlling access to arbitration, by avoiding excessive contractual lock-in, and by drafting exceptions that protect public-interest regulation. It is also preserved by giving the state positive legal tools to classify strategic minerals, guide licensing, require responsible conduct, promote value addition, ensure transparency, and adapt regulation as the sector develops.

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[89] UNCTAD, *Critical Minerals, Critical Decisions: Industrial Policy for the Energy Transition* (United Nations 2026) vi, 1–4, 21–30.
[90] UN Secretary-General's Working Group on Transforming the Extractive Industries for Sustainable Development, *UN Guidance for Action on Critical Energy Transition Minerals* (United Nations 2025) 41–55, 67–73.
[91] EITI (n 16) 4–10, 12–20.
[92] IEA and OECD (n 15) 7–15, 70–75.

Chapter Four

4. Ethiopia's Legal Framework and the Governance of Critical Minerals

The previous chapters established two points. First is that the Ethiopian mining investment framework contains both protective and regulatory elements: it gives investors legal assurances, but it also preserves public ownership, licensing control, and administrative supervision over mineral resources. Second is that critical minerals make this balance more demanding because they require long-term state control over resource allocation, value addition, sustainability, and future policy choice in addition to requiring some level of investment protection. This chapter assesses whether the existing framework gives the state sufficient authority while at the same time maintaining a credible environment for mining investment.

4.1 Resource Management and Strategic Control over Critical Minerals

As discussed in earlier chapters the starting point of Ethiopia's framework is clear. Mineral resources are not treated as ordinary private assets. Article 40(3) of the FDRE Constitution vests ownership of land and natural resources in the state and the peoples of Ethiopia. Article 89(5) further requires the Government to hold land and other natural resources on behalf of the people and deploy them for their common benefit and development. This constitutional position is carried into the Mining Operations Proclamation. Articles 4 and 5 make government custodianship one of the basic objectives of the mining regime and give the licensing authority power to control, administer, grant, refuse and manage mineral licences. Thus at the legal basis Ethiopia has a strong basis for public control over mineral resources.[93]

This position is important for critical minerals because they have great value in their connection with energy transition, industrial inputs, battery storage, digital technologies and future supply chains. The World Bank shows that clean-energy technologies are mineral intensive and that demand for minerals such as graphite, lithium and cobalt may increase sharply as the energy transition advances.[94] IISD also explains that mineral-exporting countries often seek to use critical

[93] Constitution of the Federal Democratic Republic of Ethiopia 1995 arts 40(3), 89(5); Mining Operations Proclamation No 678/2010 arts 4–5.
[94] Hund and others (n 1) 7, 11–14.

minerals for value addition, diversification and downstream processing, while importing countries usually focus on stable and affordable access to raw materials.[95]

The Mining Operations Proclamation gives Ethiopia some legal space to do this. Article 2 classifies minerals into different categories, including metallic, industrial, precious, semi-precious, construction and strategic minerals. Article 2(37) defines a strategic mineral as any mineral that the Ministry may designate as such by directive. Article 8 also allows the Government to undertake mining operations that are vital for overall economic growth, either by itself or in partnership with private investors. These provisions show that the law gives the Ministry room to identify minerals that need special public attention because of their economic or strategic importance.[96]

The problem is that this room is not yet developed into a clear critical minerals framework. The law allows the Ministry to designate strategic minerals, but it does not clearly state what follows from that designation. It does not expressly connect strategic mineral status with licensing priority, geological mapping, domestic processing, export control, state participation, technology transfer, traceability or value addition. This does not mean that Ethiopia lacks regulatory authority. Rather, the authority exists in general form, while critical minerals require more specific legal direction.

The interview conducted with the Legal Services Executive of the Ministry of Mines and Petroleum supports this point. The interview indicated that Ethiopia does not yet have a codified policy or legal list on critical minerals, and that the concept of critical minerals is still recent in the Ethiopian context. It was also stated that minerals such as tantalum and lithium are not currently treated under a separate critical minerals category and are not clearly brought under the strategic-minerals category either. At the same time, the official considered the current Mining Operations Proclamation broadly sufficient for Ethiopia's present stage, partly because it was prepared by taking domestic and international considerations into account and has been amended several times. This practical account therefore does not show an absence of regulatory authority. It rather supports the narrower point that Ethiopia's existing authority has not yet been organized into a critical minerals-specific legal framework.[97]

[95] Baršauskaitė and others (n 87) iii–vi.
[96] Mining Operations Proclamation No 678/2010 arts 2, 2(37), 8.
[97] Interview with Legal Services Executive, Ministry of Mines and Petroleum (Addis Ababa, May 2026).

The same conclusion follows from Ethiopia's mining policy materials. The MoMP Investor Guide presents the reform of the mining sector as part of a wider effort meant to strengthen geodata, improve licensing, formalize artisanal and small-scale minings, address community concerns, remove barriers to large-scale mining and develop a sustainable and inclusive mining sector with a diversified product base and industrial input focus.[98] This supports the view that Ethiopia does not understand mining only as raw extraction. The policy language already points us toward industrial input, sustainability and broader development. However, the Guide remains mainly an investor-facing policy document and does not by itself create binding rules on critical minerals.

4.2 Licensing Control and Tenure Security

Licensing is the main legal mechanism through which Ethiopia's ownership of mineral resources becomes practical control. Public ownership states who owns the resource, but licensing determines who may explore, who may mine, how long the right may continue, what conditions attach to the right, and when the state may intervene. This is what makes the licensing process central to critical minerals governance.

The Mining Operations Proclamation adopts a controlled-entry model. Article 7 prohibits any person from undertaking mining operations without the relevant licence. It also prohibits holding, transporting or selling minerals in their natural state without a valid licence. Article 9 then organizes mineral activity through different licences, including reconnaissance, exploration, retention, artisanal, small-scale and large-scale mining licences. The 2013 amendment added special small-scale mining, including for gemstones and placer resources of gold, silver, platinum or tantalum. The effect of this structure is that mining rights do not enter the legal system as a single broad entitlement. They are granted in stages, according to the nature of the activity, the scale of operation, the mineral involved and the capacity of the applicant.[99]

This staged model is useful for regulatory autonomy. It allows the state to control mineral development from early search activities upto commercial extraction. An exploration licence gives the holder a pathway toward retention or mining, but it does not give an unrestricted right to sell minerals discovered during exploration. A retention licence protects a discovery that is potentially

[98] Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 9–11, 19–21, 23–25.
[99] Mining Operations Proclamation No 678/2010 arts 7, 9; Mining Operations (Amendment) Proclamation No 816/2013 arts 2, 32–33.

commercial but temporarily cannot be developed, while also allowing the licensing authority to refuse retention where the deposit can be mined profitably, where fair competition may be affected, or where mineral resources may become concentrated in the hands of the applicant. Large-scale and small-scale mining licences are also granted only where the work programme, financial capacity, technical ability and environmental impact assessment satisfy the law.[100]

The allocation of licensing power also matters. Article 52 distributes authority between federal and regional organs. Regional authorities may issue licences mainly in relation to artisanal mining, construction minerals and certain industrial minerals, while the Ministry retains licensing powers not assigned to regional authorities. Under this arrangement, foreign-investor participation, large-scale industrial mineral operations, and most licences relating to metallic, precious and semi-precious minerals remain within the federal domain.[101] This is important for critical minerals because minerals with wider economic and strategic importance may require national coordination rather than fragmented local administration. The framework therefore gives Ethiopia a legal basis to keep more sensitive mineral activities closer to federal control.

At the same time, licensing control is not absolute discretion. Mining investors need some security because exploration and mining involve high geological, commercial and regulatory risk. Security of tenure is one of the central conditions for attracting mining investment, since investors are unlikely to commit their capital and technology where the link between exploration and later development is uncertain.[102] The Mining Operations Proclamation reflects this concern. Article 4 includes security of tenure among the objectives of the law while Article 19 gives an exploration licensee a right to renewal if the legal conditions are satisfied. Articles 23–25 allow retention where a discovered deposit cannot immediately be developed for temporary economic, market or technological reasons. Article 27 allows large-scale mining licences to continue for up to twenty years and to be renewed where the deposit remains economically viable and the licensee has complied with the law. These provisions give investors continuity, but not immunity from regulation.[103]

[100] Mining Operations Proclamation No 678/2010 arts 18, 20, 23, 26, 28.
[101] Mining Operations Proclamation No 678/2010 art 52; Hindeya (n 20) 36–37.
[102] Hindeya (n 18) 26–28.
[103] Mining Operations Proclamation No 678/2010 arts 4, 19, 23–25, 27.

The better way to describe the Ethiopian model is therefore conditional tenure. A licence gives the investor a legally protected position, but that position remains dependent on compliance. Article 12 requires proper application, documentation and fees for issuance, renewal and transfer. Article 13 allows priority to be determined by the economic benefit of the minerals, investment objectives, technical work plan, financial proposal and technical competence, and also allows bidding where the licensing authority considers it appropriate. Article 14 requires publicity of applications and allows objections by interested parties. Article 15 requires a public registry of licences, transfers, suspensions, revocations, encumbrances and related dealings. These provisions show that licensing as a tool is used for transparency, priority-setting and public supervision.[104]

The state's supervisory power is clearest in the rules on suspension and revocation. Article 44 permits suspension where the licensee's activity is likely to become an imminent danger to the local community, the environment or employees and suspension is the only available remedy. It also permits revocation for serious grounds such as failure of investor to meet financial obligations, breach of material licence conditions, gross negligence, wilful misconduct, departure from the work programme, violation of environmental and safety standards, false information, failure to keep records, or refusal to allow inspection. However, the same provision requires notice, reasons and an opportunity to respond or remedy the breach. This again confirms the same balance. The state may intervene, but intervention must follow legal grounds and procedure.[105]

For critical minerals, this balance is very useful but it still remains incomplete. The current licensing framework allows the state to control entry, assess capacity, register rights, impose conditions, monitor compliance and withdraw licences where necessary. It also protects investors through renewals, retention rights, long-duration mining licences, written reasons, notice and procedural safeguards. The problem is that the framework does not yet clearly explain how licensing discretion should be used when the mineral is strategically important. It does not clearly connect critical or strategic mineral status with special licensing conditions, domestic processing, technology transfer, traceability, state participation, export control or value-chain development.

According to the legal services executive of the Ministry of Mines and Petroleum, one licensing problem is that applications may be pursued through brokers or intermediaries, and some licence

[104] Mining Operations Proclamation No 678/2010 arts 12–15.
[105] Mining Operations Proclamation No 678/2010 art 44.

holders later fail to begin actual mining activity. In that situation, the legal act of issuing a licence does not by itself serve the public purpose of mineral development. The official also identified supervision as a practical difficulty because mining sites are often located in remote areas, while the Ministry is located in Addis Ababa and even regional institutions are not be close enough to the actual sites. This shows that regulatory autonomy is not secured only by having legal powers to grant, suspend or revoke licences. It also depends on whether the state has the institutional capacity to monitor whether licensed rights are actually being used for productive mining activity.[106]

The MoMP Investor Guide presents licensing reform as one of the major components of mining-sector reform. It refers to upgrading the cadastre system with regional states fully integrated, making licence applications online, streamlining federal and regional licensing systems, improving consistency through consultations with regional mining bureaus, and consolidating federal and regional administrative and licensing procedures.[107] A transparent cadastre, clear licensing procedure and better institutional coordination can protect investors while also strengthening public control.

The same practical concern appears in federal-regional coordination. The formal division of mandates does not always prevent administrative conflict in practice. Problems may arise where regional or woreda institutions seek to impose additional licensing requirements on companies that have already obtained licences from the federal authority. This can create uncertainty for investors and can also weaken the coherence of public regulation. Therefore, even though legal allocation of power is present, effective critical minerals governance requires the legal division of powers to be supported by institutional coordination and respect for mandate boundaries.[108]

4.3 Investment Protection, BITs, and Dispute-Settlement Exposure

Another issue is whether Ethiopia's investment protection framework may restrict the states ability of future regulation of critical minerals. This has to be seen in two layers. The first is the domestic layer which is the mining investment law. The second is the treaty layer, mainly Ethiopia's bilateral investment treaties. The distinction is important because domestic law can normally be adjusted

[106] Interview with Legal Services Executive (n 97).
[107] Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 19–21, 45–47.
[108] Interview with Legal Services Executive (n 97).

by the state through its ordinary law-making process while its treaty commitments may give foreign investors separate avenues for international claims against the state.

At the domestic level, the Mining Operations Proclamation gives investors important assurances. It expressly includes security of tenure among its objectives, and this is supported by renewal rights, retention licences, long-duration mining licences, transfer rules, registration of mineral rights, and the right of small-scale and large-scale mining licensees to market and sell minerals. These protections are there because mining investment involves geological risk, heavy capital expenditure, and long periods before production begins. A mining investor would not normally commit capital and technology if the legal framework does not give some continuity between exploration, discovery, development and production.[109] But the case remains that the domestic framework does not protect investment in a way that removes state control. The same mining laws still preserve a conditional protection. The investor receives legal security, but only so long as the investment remains within the terms of the licence and the law.[110]

In practice, problems with investors are often handled administratively through warnings, negotiation and internal management before more serious steps are taken. At the same time, licence suspension and termination are the points at which disputes may arise. Where the matter involves a foreign investor, the Ministry may consult the Ministry of Justice because it would represent the government if the dispute later escalates.[111] Therefore, licensing is both a regulatory tool and a potential dispute trigger. The more valuable or strategic the mineral becomes, the more important it is for licence suspension, revocation and renegotiation to be legally grounded, procedurally fair and institutionally coordinated.

The more serious concern arises from the treaty layer. Ethiopia has signed several BITs, and these treaties may give some foreign mining investors rights that are beyond domestic administrative and judicial remedies. Ethiopia has signed 35 BITs, of which 21 are in force.[112] Depending on the treaty, foreign investors may rely on some clauses such as fair and equitable treatment, protection against expropriation, free transfer of funds, MFN treatment, full protection and security, and

[109] Mining Operations Proclamation No 678/2010 arts 4, 15, 19, 23–25, 27, 30, 33, 42.
[110] Mining Operations Proclamation No 678/2010 arts 4–5, 15, 34, 44.
[111] Interview with Legal Services Executive (n 97).
[112] Hagos (n 3) 137.

investor–state arbitration. In ordinary sectors, this is already significant and as discussed in previous sections it becomes more sensitive for critical minerals.

The older BIT model shows the risk more clearly. The Ethiopia–Netherlands BIT defines investment broadly and it include rights granted under public law or contract, including rights to prospect, explore, extract and exploit natural resources. It also guarantees them fair and equitable treatment, full security and protection, national treatment, MFN treatment, free transfer of payments, protection against expropriation, and investor–state arbitration through domestic courts, ICSID, the ICSID Additional Facility or UNCITRAL arbitration.[113] The Ethiopia–Germany BIT similarly treats public-law concession to search for, extract and exploit natural resources as investments, and grants fair and equitable treatment, full protection, national treatment, MFN treatment, expropriation protection and transfer guarantees.[114] These provisions are not unusual in investment treaties but from a mining context they are important because mineral rights themselves may become internationally protected assets.

The MFN issue adds another layer of exposure. Ethiopia's BITs require rethinking because many of their MFN clauses are drafted in broad and general terms, creating room for investors to import more favourable protections or dispute-settlement arrangements from other treaties.[115] This matters for critical minerals because Ethiopia may assume that a particular treaty contains a limited bargain, while an investor may attempt to widen that bargain through MFN. If that happens, future measures on licensing, domestic processing, mineral export, or strategic resource control may be tested against standards that Ethiopia did not clearly intend to apply in that specific treaty relationship.

The Ethiopia–UAE BIT is more useful as a modern contrast. Its preamble recognizes sustainable development, the need for investors to observe host-state laws, and the right and responsibility of the parties to regulate investment within their territories in order to meet national policy objectives. Its definition of investment is also narrower than some older treaties because it excludes certain claims to money and speculative assets. More importantly, its MFN clause expressly states that

[113] Agreement on Encouragement and Reciprocal Protection of Investments between the Federal Democratic Republic of Ethiopia and the Kingdom of the Netherlands arts 1, 3, 5–6, 9.
[114] Treaty between the Federal Republic of Germany and the Federal Democratic Republic of Ethiopia concerning the Encouragement and Reciprocal Protection of Investments arts 1–4.
[115] Martha Belete Hailu and Tilahun Esmael Kassahun, 'Rethinking Ethiopia's Bilateral Investment Treaties in Light of Recent Developments in International Investment Arbitration' (2014) 8(1) *Mizan Law Review* 117, 117–125.

MFN does not apply to procedural or judicial matters. Its expropriation provision also recognizes public-interest regulation and contains more public-welfare-sensitive language.[116] This does not give Ethiopia unlimited policy freedom. But it shows a better drafting direction because investment protection is framed together with regulatory space.

This distinction between older and newer treaty drafting is important for critical minerals. The IISD report on trade and investment agreements and sustainable critical minerals supply observes that old-generation investment treaties often prioritized investor protection at the expense of producer-state policy space, and that many such treaties remain in force. It also notes that older treaties generally lack ESG standards and critical minerals-specific provisions, and may make it harder for producing states to adopt policies aimed at domestic value addition or stronger sustainability standards.[117] In the Ethiopian context Ethiopia's BITs protect foreign investment more strongly than they protect environmental regulatory space, and FET and indirect expropriation provisions need reconsideration if Ethiopia is to safeguard its right to regulate.[118]

4.4 Policy Space, Value Addition, and Responsible Critical Minerals Governance

The final question is whether Ethiopia's legal framework gives the state enough policy space to move beyond the extraction of critical minerals and use them for the goal of wider development. Ethiopia may own the minerals, control licences of investors, and protect investors, and still fail to capture the broader value of critical minerals if the states laws do not connect mining critical minerals with processing, traceability, transparency, local economic participation, and sustainability.

The Mining Operations Proclamation states that mineral resources must be developed in an orderly and sustainable manner, and sets the security of tenure as one of the objectives of the mining regime. It also defines mining broadly to include activities that come with extraction, such as storage, treatment, processing, transportation and disposal. This means that the mining law

[116] Agreement between the Government of the Federal Democratic Republic of Ethiopia and the Government of the United Arab Emirates concerning the Promotion and Reciprocal Protection of Investment preamble, arts 1, 5–7.
[117] Baršauskaitė and others (n 87) iii–vii.
[118] Wakgari Kebeta Djigsa, 'The Adequacy of Ethiopia's Bilateral Investment Treaties in Protecting the Environment: Race to the Bottom' (2017) 6 *Haramaya Law Review* 67, 67–73, 89–90.

recognizes the operational chain around extraction, but the proclamation by itself does not create a complete value-addition regime for critical minerals.[119]

The Transaction of Minerals Proclamation partly fills this post-production space. Unlike the Mining Operations Proclamation, which mainly regulates mining operations and mineral rights, the Transaction Proclamation regulates mineral transactions after production. It applies to transactions of minerals produced from mining operations in Ethiopia and covers activities such as purchase, custody, transport, crafting, refining, smelting, local sale, and export. Its objectives include creating an effective mineral transaction system, ensuring contribution to socio-economic development, preventing illegal influence in mineral transactions, and ensuring that actors in mineral transactions understand and perform their rights and obligations under the law.[120] This is important because it shows that Ethiopia's law does not stop at licensing extraction. It also has a legal layer for controlling how minerals move, are handled, and reach the market.

However, this still does not amount to a critical minerals value-chain framework. The transaction law is useful for legality, market control, and supervision of mineral movement. But it is not designed around critical minerals, energy-transition supply chains, domestic processing, technology transfer, traceability, or strategic value addition. The legal point here is not that Ethiopia has no post-production rules. The stronger point is that the existing post-production rules are general mineral-transaction rules. They have not been linked to the strategic-mineral category, or to a policy that identifies which minerals should be processed locally, which ones may be exported in raw form, and what conditions should apply to minerals with special economic or strategic importance.

This gap needs to be addressed because critical minerals create a different policy challenge from ordinary mineral production. The EITI policy brief notes that critical minerals may generate opportunities for investment, revenue and jobs, but also create risks relating to revenue volatility, corruption, environmental and social impacts, licensing, beneficial ownership, state participation, and community trust.[121] The UN Guidance on Critical Energy Transition Minerals also places emphasis on human rights, environmental protection, justice, benefit sharing, value addition,

[119] Mining Operations Proclamation No 678/2010 arts 2(18), 2(26), 4–5.
[120] Transaction of Minerals Proclamation No 1144/2019 arts 3–4.
[121] EITI (n 16) 4–9, 12.

economic diversification, responsible investment, transparency, accountability, anti-corruption, and traceability.[122] These points are relevant to Ethiopia because minerals such as tantalum and lithium should not be governed only as items of production or export. Their strategic value depends on how they are governed.

Traceability is especially important. The IEA/OECD report defines traceability as the capacity to determine a product's origin, chain of custody, and physical evolution over time. It also explains that ESG data can be attached to traceability systems, information on emissions, environmental footprint, beneficial ownership, compliance with law, human rights systems, and corruption risks.[123] For Ethiopia, this is not only a technical issue. It is a governance issue. If the country wants its critical minerals to enter responsible global supply chains it will need credible information on where the mineral came from, who handled it, how it was processed, and whether legal and sustainability requirements were respected.

Ethiopia already has starting points for this kind of transparency since the Mining Operations Proclamation requires a registry of licences and dealings in mineral rights and the Transaction Proclamation creates a framework for controlling mineral transactions. The MoMP Investor Guide also identifies ongoing reforms such as upgrading the cadastre system, moving licensing online, streamlining federal and regional licensing systems, and reviewing mining-sector legal instruments.[124] These reforms support both state control and investor confidence. But the remaining issue is that these systems are not yet integrated into a critical minerals governance model.

Ethiopia already uses some practical control mechanisms over mineral movement and export. For example, gold is subject to strong control by the National Bank of Ethiopia, while in other cases the Ministry may test, value, pack and take minerals to the airport after they are brought to it. Furthermore, minerals leaving a locality require documentation showing payment clearance, including royalties, and identifying the mineral, the person moving it, the quantity and the relevant local authorization. These practices are important because they show that Ethiopia is not starting

[122] UN Secretary-General's Working Group on Transforming the Extractive Industries for Sustainable Development, *UN Guidance for Action on Critical Energy Transition Minerals* (June 2025) 5–7, 41–66.
[123] IEA and OECD (n 15) 7–15, 70–75.
[124] Mining Operations Proclamation No 678/2010 arts 12–15; Transaction of Minerals Proclamation No 1144/2019 arts 3–4; Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 19–21, 45–59.

from zero.[125] However, they remain mainly legality, valuation and export-control tools. They are not yet a full critical minerals traceability system that connects origin, chain of custody, ESG information, beneficial ownership, processing history and export documentation in one coherent framework

The same point applies to value addition. From Ethiopia's policy materials we can see that the state already recognizes the need to develop a diversified product base with industrial input focus, formalize artisanal and small-scale mining, strengthen geological information, address barriers to large-scale mining, and support sustainable and inclusive mining-sector development.[126] Ethiopia has made some attempts to encourage value addition, but the country still lacks the technology and expertise needed to process minerals domestically at the required level. As a result, raw mineral export remains common. Value addition could bring more revenue, employment and technology however, Ethiopia is still lacking in the area. For example, where raw tantalum is exported, associated minerals such as lithium may be undervalued or effectively lost within the transaction.[127] For critical minerals, value addition should not be treated only as an economic aspiration; it should be connected to licensing, transaction control, valuation, processing policy and export regulation.

However, this does not mean that policy space should mean giving the state unlimited discretion. Critical minerals governance must still remain predictable enough to attract serious investors. If extreme policies are introduced suddenly or without legal clarity, they may weaken investor confidence and create dispute risks. This is why UNCTAD's investment policy framework is useful. It treats modern investment policy as a balance between attracting investment and preserving regulatory space for sustainable development, including through coherent national policy, responsible investment, institutional effectiveness, and treaty design that safeguards public regulation.[128]

[125] Interview with Legal Services Executive (n 97).
[126] Ministry of Mines and Petroleum, *Mining in Ethiopia: Investor Guide* (2020) 9–11, 19–21.
[127] Interview with Legal Services Executive (n 97).
[128] UNCTAD, (n 2) 6–9, 16–19, 28–31, 73–89.

Conclusion and Recommendations

Main Findings

Firstly, Ethiopia has a strong formal basis for regulatory autonomy over mineral resources. The Constitution vests ownership of land and natural resources in the state and the peoples of Ethiopia, while the Mining Operations Proclamation gives effect to government custodianship and authorizes the licensing authority to control, administer, grant, refuse and manage mineral licences. This gives Ethiopia a solid legal basis to treat mineral resources as public resources and to regulate their development in the public interest.[129]

Secondly, the mining framework gives the state meaningful licensing control while at the same time giving investors some protection. Mining operations cannot be undertaken without a licence, and the law structures mineral development through different stages of reconnaissance, exploration, retention, small-scale mining and large-scale mining. It also gives the licensing authority powers relating to application, registration, renewal, transfer, suspension and revocation. At the same time, the framework protects investors through security of tenure, renewal rights, retention licences, registration of rights, notice requirements and procedural safeguards.

Thirdly, Ethiopia's domestic investment-protection framework is relatively balanced. The mining law protects investors, but it also keeps mineral rights subject to compliance. The general investment framework also reflects a policy of investment promotion and protection while requiring investors to respect other laws and sustainability-related obligations. This shows that the domestic framework does not, by itself, freeze Ethiopia's regulatory autonomy.

Fourthly, the treaty layer creates greater uncertainty. Older BITs may give foreign investors broad protections through FET, MFN, expropriation, transfer guarantees and investor-state dispute settlement. These standards are not necessarily problematic in themselves, but they may become restrictive if they are drafted without adequate public-welfare exceptions, clear limits on MFN, careful expropriation language and controlled consent to arbitration. The Ethiopia–UAE BIT

[129] Constitution of the Federal Democratic Republic of Ethiopia 1995 arts 40(3), 89(5); Mining Operations Proclamation No 678/2010 arts 4–5.

shows a more modern direction because it recognizes regulatory space more clearly, but Ethiopia's treaty framework as a whole remains uneven.[130]

Fifthly, Ethiopia has some post-production and value-chain control tools, but they remain fragmented. The Transaction of Minerals Proclamation is important because it regulates mineral transactions after production, including purchase, custody, transport, crafting, refining, smelting, local sale and export. It also supports state control over legality, movement and commercialization of minerals. However, it is still a general mineral-transaction law. It is not specifically designed as a critical minerals traceability, processing, export-control or value-addition framework.

Sixthly, the interview with the legal services director of the MoMP shows that implementation capacity is central to the balance between investment protection and regulatory autonomy. The Ministry may have formal licensing, supervisory and transaction-control powers, but practical problems still arise from unused licences, remote mining sites, federal-regional coordination difficulties, and uneven institutional expertise. This means that Ethiopia's challenge is not only to create legal authority, but also to make that authority administratively effective.

Finally, the main gap in Ethiopia's framework is not complete absence of regulation. The more accurate problem is lack of critical minerals-specific organization.

Recommendations

First, Ethiopia must adopt a specific legal regime for critical minerals. Currently, the legal framework for critical minerals is still dispersed among the Mining Operations Proclamation, the Transaction of Minerals Proclamation, the investment regime and the country's BITs. Such a fragmented legal framework is not enough to ensure that critical minerals receive the attention and consideration they deserve from the government and investors alike. Therefore, it is preferable and recommended that Ethiopia enact a specific proclamation for critical minerals to give them the legal attention that they deserve. This recommendation does not deny that the existing Mining Operations Proclamation gives the state broad regulatory authority; rather, it responds to the narrower gap that the current framework has not yet converted that authority into a coherent critical minerals regime.

[130] Ethiopia–UAE BIT (n 107) preamble, arts 1, 5–7.

Second, the proposed critical-minerals law should clearly define what Ethiopia means by critical minerals. The Mining Operations Proclamation already refers to "strategic minerals", but this category is not enough by itself and it is still rather unclear. Furthermore, the Transaction of Minerals Proclamation refers to tantalum as a metallic mineral while the rest of the world treats it as a critical mineral. The new legislation should explain what criticality of a mineral is based on and it should also create a clear process for listing, reviewing, and updating critical minerals. This would allow Ethiopia to treat minerals such as tantalum, graphite, lithium, and other important minerals in a more deliberate way instead of leaving them only under general or outdated mineral categories.

Third, the legal consequences of critical mineral designation should be clearly stated. Designating a mineral as critical should not remain only a label. It should have legal effect. The law should indicate whether designation affects licensing priority, geological mapping, state participation, domestic processing, export permission, technology transfer, infrastructure planning, traceability, reporting duties, or value-addition obligations. This is important because the current weakness is not only that the law does not use the language of critical minerals. The deeper weakness is that the available tools are not brought together into one binding framework.

Fourth, licensing rules should be adjusted for critical minerals. This does not mean that investor security should be weakened. Mining investors still need predictability because exploration and production require capital, technology, and time. But where the mineral is critical, the licence should not only give the investor the right to explore or extract. It should also help the state guide how the mineral will be developed.

Fifth, Ethiopia should build a stronger value-addition and traceability system around the existing Transaction of Minerals Proclamation. That Proclamation already gives the state some control over purchase, custody, transport, crafting, refining, smelting, local sale, and export. But for critical minerals, this general transaction control system should be taken further. Ethiopia already has some export documentation, valuation and mineral control practices, but these practices are not yet organized as a critical minerals traceability system. The law should therefore develop the existing transaction control framework into a system that includes chain-of-custody documentation, mineral-content valuation, processing information, export documentation, beneficial-ownership transparency and responsible-sourcing standards.

Sixth, the critical minerals framework must include a means for coordinating the numerous federal and regional institutions that are responsible for critical minerals. Without coordination between the various institutions that manage these sectors it would be impossible for Ethiopia to develop this aspect of its economy. The legal framework must therefore include a clear mechanism for coordination between the Ministry of Mines, the mining bureaus within Ethiopia's various regions, the country's investment institutions and the environmental authorities. Such a coordinated framework will allow Ethiopia's investors to interact with a consistent legal regime for critical minerals. This is especially important because foreign investors may face uncertainty where regional or woreda institutions impose additional requirements despite the existence of a federal licence, and such uncertainty weakens both investor confidence and effective public control.

Finally, Ethiopia should review its older BITs in light of critical minerals governance. The aim should not be to reject investment protection. Investors need legal security, and Ethiopia also needs serious capital and technology in the mining sector. The point is that protection must be better calibrated. Future treaties should define FET more carefully, limit MFN so that it does not import dispute-settlement rights, distinguish indirect expropriation from genuine public-interest regulation, preserve limited transfer restrictions where necessary, and avoid broad consent to arbitration over every regulatory measure. Critical minerals require this level of caution because their demand is growing rapidly and it brings with it opportunities as well as regulatory hurdles.

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Appendix

Appendix A: Interview Questionnaire for Ministry of Mines Officials

Research Title:

Investment Protection vs. Regulatory Autonomy in Ethiopia's Mining Legal Framework: The Case of Critical Minerals

Purpose of the Interview:

This interview is conducted for academic research purposes. The study examines whether Ethiopia's mining investment legal framework gives sufficient protection to investors while also preserving the government's authority to regulate critical minerals in the public interest.

Note:

The information collected will be used only for academic purposes. The name, position, or institution of the respondent may remain anonymous if requested.

Interview Questions

1. Does Ethiopia currently have a list or policy on strategic or critical minerals?
2. Does the current mining law give enough government control over these minerals?
3. What are the main problems in mining licensing and supervision?
4. Are there federal-regional coordination problems in mining administration?
5. How does the Ministry protect investors while still keeping power to regulate them?
6. How are mining disputes usually resolved in practice?
7. What is Ethiopia doing to encourage local processing and value addition?
8. Are there systems for mineral traceability, export tracking, or transparency?
9. What are the main legal or institutional gaps in the sector?
10. What reforms do you recommend for better critical-minerals governance?